PACIFIC RIDGEWAY

A PLAIN-ENGLISH GUIDE

The Social Security & Pension *Timing Guide*

62, 67 or 70? Timing can change your income for life.



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W E L C O M E

Two decisions. A *lifetime* of difference.

When you claim Social Security and which pension option you choose are two of the biggest money decisions of your life. Most people make them in an afternoon.

The difference between a rushed choice and a planned one can be **$100,000 or more** over a couple's lifetime, and much of it lands on the surviving spouse. This guide explains the rules in plain English and shows how to coordinate the pieces.

What gets decided

Your check

The age you claim locks in your Social Security amount for life.

Your spouse's check

Spousal and survivor benefits depend on your timing too.

Your pension

Single-life, joint, or a lump sum: usually a one-time choice.

Your taxes

Timing changes how much of your income is taxed.

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CHAPTER 1

How Social Security is figured

Your benefit is based on your 35 highest-earning years, adjusted for wage growth.

1

Your top 35 years

Earnings are indexed for wage growth. Missing years count as zero.

2

Your average

Averaged into a monthly figure.

3

Your full benefit

A formula turns that into your benefit at full retirement age.

Full retirement age (FRA)

Born in	Full retirement age
1955	66 and 2 months
1956	66 and 4 months
1957	66 and 6 months
1958	66 and 8 months
1959	66 and 10 months
1960 or later	67

GET YOUR REAL NUMBERS

Create a my Social Security account at ssa.gov to see your earnings record and estimates at each age.

CHECK YOUR RECORD

Missing or wrong earnings lower your benefit. Fix errors before you claim.

Good news for public workers

The Social Security Fairness Act repealed the Windfall Elimination Provision and Government Pension Offset starting with benefits for January 2024. Many teachers, police officers and other public employees with pensions now get more.

CHAPTER 2

Claiming at 62, 67 or 70

You can claim as early as 62 or as late as 70. Every month you wait raises your check, for life.

Claim at	Share of full benefit (FRA 67)	If full benefit is $2,800
62	70%	$1,960 a month
65	About 87%	$2,427 a month
67	100%	$2,800 a month
70	124%	$3,472 a month

Before cost-of-living adjustments, which are added at any claiming age. Hypothetical full benefit.

Waiting from 62 to 70 can raise your check by about *77%*, for the rest of your life.

The break-even question

Claiming at 70 instead of 62 pays less early and more later. In this example, total lifetime benefits from waiting catch up around **age 80 to 81**. After that, waiting comes out ahead every year.

CLAIMING EARLIER MAY FIT IF...

Your health or family history suggests a shorter life, you need the income now, or you're the lower earner in a couple.

WAITING MAY FIT IF...

You're healthy, you have other income or savings to bridge the gap, or you're the higher earner and want to protect your spouse.

CHAPTER 3

Spouses and survivors

For married couples, the higher earner's claiming age often matters most, because it sets the survivor's check.

SPOUSAL BENEFIT

Up to 50% of your spouse's full benefit, if that's higher than your own. Claiming before your FRA reduces it. Delaying past FRA doesn't increase it.

SURVIVOR BENEFIT

When one spouse dies, the survivor keeps the larger of the two checks. The smaller one stops.

Example: Bob and Carol

	Bob claims at 62	Bob claims at 70
Bob's check	$1,960	$3,472
Carol's own check	$1,500	$1,500
Household income while both alive	$3,460	$4,972
Carol's check after Bob dies	About $2,310	$3,472

Hypothetical monthly amounts before COLAs. Survivor amounts depend on both ages at claiming and death.

When the higher earner waits, it's often the *surviving spouse* who benefits most.

Divorced?

If your marriage lasted 10 years or more and you're unmarried, you may claim on an ex-spouse's record without affecting their benefit.

CHAPTER 4

Working while claiming

If you claim before full retirement age and keep working, part of your check may be held back for a while.

Your situation (2026)	What happens
Under FRA all year	$1 withheld for every $2 earned over about $24,480
The year you reach FRA	$1 withheld for every $3 earned over about $65,160, until your FRA month
At or after FRA	No limit; earn as much as you want

Rounded 2026 limits; they change each year. Only wages and self-employment income count, not pensions or investment income.

It's not lost forever

Withheld benefits aren't gone. At full retirement age, Social Security recalculates your check upward to credit the months that were withheld. But claiming early while working often makes little sense.

A better bridge

1

Keep working

Your paycheck covers your bills.

2

Save the gap

Build or protect the savings you'll use to bridge to a later claim.

3

Claim later

Lock in a bigger, inflation-adjusted check for life.

CHAPTER 5

Taxes and Medicare

Your claiming age and your other income work together. Plan them as one.

Social Security can be taxed

Provisional income	Married filing jointly	Single
Under the first threshold	Under $32,000: 0% taxable	Under $25,000: 0% taxable
Middle range	$32,000–$44,000: up to 50%	$25,000–$34,000: up to 50%
Above	Over $44,000: up to 85%	Over $34,000: up to 85%

Provisional income is half your Social Security plus your other taxable income and tax-exempt interest. IRA withdrawals and pensions count; qualified Roth withdrawals don't.

Medicare starts at 65, no matter when you claim

SIGN UP ON TIME

If you're not covered by an employer plan, enroll around 65. Late sign-up can mean a penalty for life.

WATCH YOUR INCOME

Higher income two years earlier can raise Medicare premiums (IRMAA).

Waiting to claim can create *low-income years*, a great time for Roth conversions.

CHAPTER 6

Pension options

If you have a pension, the payout option you choose usually can't be changed later. Read every option before you sign.

Option	How it pays	Trade-off
Single life	The highest check, for your life only	Stops when you die; spouse gets nothing
Joint and 100% survivor	Lower check; spouse keeps 100%	Biggest cut to your check
Joint and 50% or 75% survivor	Middle check; spouse keeps 50% or 75%	A balance between the two
Period certain	Pays for life, with a minimum number of years	Small reduction for the guarantee
Lump sum	One payment you roll to an IRA	You manage it and take the market risk

Example: a $3,000 pension

Option	Your check	Spouse gets after you
Single life	$3,000	$0
Joint 50%	About $2,750	About $1,375
Joint 100%	About $2,550	About $2,550

Hypothetical. Actual reductions depend on your plan and both ages.

"Pension maximization"

Some couples take the single-life option and use life insurance to replace the pension for the surviving spouse. It can work, but only if the coverage is in place and affordable for life. If health coverage depends on the survivor option, think twice.

CHAPTER 7

Lump sum or monthly?

Some pensions offer a lump sum. It's a big decision, and the right answer depends on your health, other income and comfort with risk.

REASONS TO TAKE MONTHLY

- ✓ Guaranteed income for life
- ✓ No investment decisions
- ✓ Protection if you live a long time
- ✓ Often backed by the PBGC for private plans

REASONS TO CONSIDER THE LUMP SUM

- ✓ Concerns about the plan's health
- ✓ Wanting to leave money to heirs
- ✓ Health issues that shorten life expectancy
- ✓ Flexibility and control

How to compare fairly

1

Price the income

What would it cost to buy the same lifetime income elsewhere?

2

Compare the rate

What return would the lump sum need to match the pension?

3

Check the survivor

Does the lump sum protect your spouse as well?

If you take a lump sum, roll it directly to an IRA to avoid immediate tax and 20% withholding. Some retirees then use part of it to buy guaranteed lifetime income, so they keep a paycheck and also control the rest.

Interest rates affect lump sum amounts: when rates rise, lump sums usually shrink.

CHAPTER 8

Putting it together

The best timing plans look at Social Security, the pension and savings at the same time.

Example: Jim, 63, and Lisa, 61

	Rushed plan	Coordinated plan
Jim's Social Security	Claim at 63	Claim at 70
Jim's pension	Single life, highest check	Joint 75% survivor
Lisa's Social Security	Claim at 62	Claim at her FRA
Bridge to 70	None needed	Savings and annuity income
If Jim dies at 80, Lisa gets	Small survivor check, no pension	Jim's larger check plus 75% of his pension

Hypothetical example for illustration.

The goal isn't the biggest check. It's the most *security* for both of you, for as long as either of you lives.

Using savings as a bridge

Spending some savings in your 60s to delay Social Security can feel backward, but it often buys more lifetime, inflation-adjusted income than the savings could safely produce on their own. A guaranteed income source can make the bridge years less stressful.

CHAPTER 9

Mistakes & checklist

Avoid these and you'll be ahead of most retirees.

The mistake	Do this instead
Claiming at 62 by default	Compare 62, FRA and 70 with your real numbers
Ignoring the survivor	Plan for the spouse who lives longest
Picking single-life pension without a backup	Know what your spouse would live on
Claiming early while still working	Check the earnings test first
Missing Medicare at 65	Enroll on time if not covered by work
Taking a lump sum as a check	Use a direct rollover

Bring this to your planning call

- ✓ Social Security estimates for you and your spouse (ssa.gov)
- ✓ Pension option estimates, including lump sum if offered
- ✓ Your savings balances and other income
- ✓ Your health and family history, roughly
- ✓ Your target retirement date and spending

PACIFIC RIDGEWAY

Let's build your strategy

The policy is the tool. The strategy is what makes it powerful. Here's how we work with every client:

1
Learn your goals
Income, your spouse, legacy, or all three.

2
Pick the right tool
Social Security, pension, savings, or a blend.

3
Shop the strongest
A+ rated, 100+ year companies only.

4
Build for income
Designed for growth, not the biggest commission.

5
Show every number
Guaranteed column, costs and honest risks.

6
Review every year
So your plan stays on track.

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